

FEDERAL MARITIME COMMISSION

IAN MILLS,

Claimant,

v.

CROWLEY LOGISTICS, INC.

Respondent.

INFORMAL DOCKET NO. 1995(I)
FORMAL DOCKET NO. 1995(F)

**RESPONDENT CROWLEY LOGISTICS, INC.'S
RESPONSE & ANSWER TO COMPLAINT**

Respondent Crowley Logistics, Inc. ("Crowley") hereby responds and answers the Complaint of Claimant Ian Mills as follows:

Preliminary Statement

Claimant Ian Mills filed this action against Crowley, alleging that Crowley violated the Shipping Act of 1984, particularly 46 U.S.C. § 41102 and 41104. Crowley denies that it violated the Shipping Act, denies that the Shipping Act applies based on the facts here, and denies that Crowley owes Claimant anything.

Crowley does not consent to the informal procedures of Subpart S of the Commission's Rules of Practice and Procedure. Accordingly, Crowley provides this answer under 46 C.F.R. § 502.312 to respond to each matter set forth in Claimant's Complaint. Crowley quotes below each paragraph of Claimant's Complaint and then provides Crowley's response to each paragraph.

Additionally, in support of Crowley's defenses to Claimant's Complaint, Crowley also files a Memorandum in Support of its Answer and Motion to Dismiss Complaint, the Affidavit of Steven Ficon (the "Ficon Aff."), and Respondent's Affidavit. All references to exhibits are references to the exhibits attached to the Affidavit of Steven Ficon.

Answer to Matters Set Forth in Complaint

I. The Claimant is an individual that runs a small agribusiness based in Barbados.

CROWLEY ANSWER: Crowley lacks sufficient information to admit or deny this allegation.

II. The Respondent is a corporation in Florida (FEI Number 94-3300399) that provides logistics/shipping services. Its principal and mailing address is 9487 Regency Square Blvd., Jacksonville, FL 32225, with a warehouse located at 10205 NW 108TH Ave., Medley, FL 33178.

CROWLEY ANSWER: Admitted.

III. The matters that give rise to this claim are the following:

Overview

The Parties intended for the Respondent to transport a range of items from Miami to Barbados comprising (1) 40 ft container, (2) 98 dry goods, and (3) a clip on generator. As agreed between the Parties, the Claimant sent the 98 dry goods to the Respondent's warehouse in Miami and the Parties agreed for the container and clip on generator to be collected by the Respondent from a supplier in Maimi. This was done (and there is signed proof by the Respondent's truck driver when he collected both the container and clip on generator).

CROWLEY ANSWER: Crowley admits that the parties intended for Crowley to transport a 40-foot container and 98 dry goods from Miami to Barbados (as detailed in the parties' Bill of Lading), that Claimant sent the 98 dry goods to Crowley's warehouse, and that Crowley arranged to pick up the container from Claimant's supplier. Crowley denies that the parties agreed for Crowley to transport a clip-on generator because the Bill of Lading does not list a clip-on generator. *See* Exhibit 2. In part due to Claimant's failure to comply with the notice provisions in the Bill of Lading, Crowley has been unable to determine whether it received a clip-on generator, and therefore Crowley denies that it collected or received the clip-on generator. Crowley denies any remaining allegations in this paragraph.

The Parties then entered into a Bill of Laden for the Respondent to transport all the items to the Claimant in Barbados, but accidentally omitted to include the clip on generator (stored in the Respondent's warehouse). Accordingly, the Respondent shipped all items

except the clip on generator to the Claimant in Barbados. Upon receipt, the Claimant realised that the clip on generator was not included (photos/video proof confirm this) and that the Bill of Lading had accidentally omitted it.

CROWLEY ANSWER: Crowley admits that the parties entered into a Bill of Lading for Crowley to transport items to Claimant in Barbados. Crowley denies that the parties “accidentally omitted” the clip-on generator from the Bill of Lading. For example, Claimant’s request to Crowley for a price quote referenced only the container and the dry goods. *See* Exhibit 1. In part due to Claimant’s failure to comply with the notice provisions in the Bill of Lading, Crowley also has been unable to determine whether it received a clip-on generator, and therefore Crowley denies the allegation that the clip-on generator was stored in Crowley’s warehouse. Crowley admits that it transported all items to Claimant in Barbados. Crowley denies that it omitted anything. As explained in Crowley’s accompanying memorandum, Claimant failed to provide notice to Crowley of the alleged issue concerning the generator within the time period required by the Bill of Lading, and thus this is prima facie evidence that Crowley delivered the goods in good order.

The Claimant asked the Respondent to transport the clip on generator to the Claimant in Barbados (by way of another Bill of Lading) but the Respondent told the Claimant that the Respondent didn’t know where the clip on generator was i.e. had lost it. As the clip on generator had not been included in the Bill of Lading, there is no contract or cap on insurance governing it. The clip on generator is the property of the Claimant who requested it be found and returned or refunded but the Respondent refused.

CROWLEY ANSWER: In part due to Claimant’s failure to comply with the notice provisions in the Bill of Lading, Crowley has been unable to determine whether it received a clip-on generator, and therefore Crowley denies that it “lost” the clip-on generator. Although Crowley admits that the clip-on generator is not listed in the Bill of Lading, for the reasons explained in Crowley’s accompanying memorandum, to the extent that Claimant alleges that Crowley was supposed to transport the clip-on generator, the clip-on generator is subject to the terms and conditions of the Bill of Lading, including the limitation of liability, which governed the parties’ relationship and

Crowley's services for Claimant. Crowley lacks sufficient information to admit or deny whether the generator is the property of Claimant. Crowley admits that Claimant made demands that the generator be found and returned or refunded many days after the container was received at its destination, but—for the reasons stated in Crowley's accompanying memorandum—Crowley denies that it had any such obligation. Crowley denies any remaining allegations in this paragraph.

The Respondent is clearly violating Section 10(d)(1) of the Shipping Act of 1984 (both 46 U.S. Code § 41102 and § 41104) as they are not acting justly or reasonably with regard to receiving, handling, storing or delivering the Claimant's property.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, the Shipping Act of 1984 (and particularly 46 U.S.C. §§ 41102 and 41104) does not apply and Crowley did not violate the Shipping Act.

Although there is no Bill of Lading (i.e. contract) governing the clip on generator, it is the Claimant's property and under 46 U.S. Code § 41102 (General prohibitions (c) Practices in Handling Property) and Code § 41104 (Common carriers), the Respondent must act justly and reasonably regarding the handling, storing and delivering of the Claimant's property. The Respondent lost the Claimant's property and the Claimant is now making this claim under Section 11(a) of the Shipping Act of 1984 (46 U.S.C. 41301(a)) to recover costs.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, the Shipping Act of 1984 (and particularly 46 U.S.C. §§ 41102 and 41104) does not apply and Crowley did not violate the Shipping Act. Also, although Crowley admits that the generator was not listed in the Bill of Lading, to the extent that Claimant alleges that Crowley was supposed to transport the clip-on generator, then the clip-on generator is subject to the Bill of Lading (which comprised the parties' complete agreement) and Crowley's defenses under the Bill of Lading, as explained in Crowley's accompanying memorandum. In part due to Claimant's failure to comply with the notice provisions in the Bill of Lading, Crowley also has been unable to determine whether it received a clip-on generator, and therefore denies that it

lost the clip-on generator. Crowley also lacks sufficient information to admit or deny whether the generator is Claimant's property.

Details

- A. The Claimant requested a quote from the Respondent to ship the Claimant's 40-foot Container and a range of items from Miami to Barbados.

CROWLEY ANSWER: Admitted.

- B. On September 17, 2021, a quote was provided to the Claimant by the Respondent, with quote number QUCR00018924-COLMIAUS (**Attachment 1**). The Parties agreed to proceed together. [The quote does not list the specific items to be transported with the Container, those would later be set out contractually in the Bill of Laden]

CROWLEY ANSWER: Admitted, except that Crowley has not received a copy of Attachment 1 to Claimant's Complaint, and therefore Crowley cannot admit or deny what Attachment 1 is.

- C. On November 9, 2021, the Claimant sent the Respondent (communicating with their representative Elizabeth Guia) the details of the items that would be shipped with the Container, which comprised:
- a. 98 packages of dry goods (by way of a google document list); and
 - b. A generator and transformer (by way of invoice setting out the details) (**Attachment 2**).

CROWLEY ANSWER: Crowley denies that the generator and transformer were items that would be shipped by Crowley, because they were not listed on the Bill of Lading. *See* Exhibit 2. Crowley also has not received a copy of Attachment 2 to Claimant's Complaint, and therefore Crowley cannot admit or deny what Attachment 2 is. Crowley admits the remaining allegations in this paragraph.

- D. The Parties agreed that:
- a. the 98 packages of dry goods would be sent by the Claimant to the Respondent's warehouse located at 10205 NW 108TH Ave., Medley, FL 33178- this was done; and
 - b. The Respondent would collect the Container and clip on generator from 13850 NW 105 Ave., Hialeah, FL 33018 (from a company called MyShippingContainers.com/Gold Coast Repairs Inc).

CROWLEY ANSWER: Crowley denies that it agreed to collect a clip-on generator, which was not listed in the parties' Bill of Lading. *See* Exhibit 2. Crowley admits the remaining allegations in this paragraph.

- E. On November 19, 2021, the Container, clip on generator and transformer were collected by the Respondent's truck driver from MyShippingContainers.com/ Gold Coast Repairs Inc. The Respondent's truck driver signed for them (**Attachment 3**). This is the signed interchange form which specifically shows:
- a. Separate unit numbers for the Container (802643 3) and for the generator (TAXG-594760) and
 - b. At the bottom is signed by the Respondent's truck driver with ID number (10148).
- In addition, the President of the supplier (MyshippingContainers.com) also verbally confirmed to the Claimant that the generator was collected by the Respondent's truck driver that day.

CROWLEY ANSWER: In part due to Claimant's failure to comply with the notice provisions in the Bill of Lading, Crowley has been unable to determine whether it received a clip-on generator, and therefore Crowley denies all allegations in this paragraph. Crowley also has not received a copy of Attachment 3 to Claimant's Complaint.

- F. On November 24, 2021, the parties agreed the Bill of Lading (**Attachment 4**). However, this only included the Container and 98 packages (the clip on generator (TAXG-594760) was accidentally omitted). The items were shipped to Barbados.

CROWLEY ANSWER: Crowley denies that the parties "accidentally omitted" the clip-on generator from the Bill of Lading. For example, Claimant's request to Crowley for a price quote referenced only the container and the dry goods. *See* Exhibit 1. Crowley also has not received a copy of Attachment 4 to Claimant's Complaint, and therefore Crowley cannot admit or deny what Attachment 4 is. Crowley admits the remaining allegations in this paragraph.

- G. On December 8, 2021, when the Container arrived at its destination in Barbados, there is video and photo evidence of the Container arriving without the clip on generator (**Attachment 5**). The Claimant contacted both the local agents in Barbados, for the Claimant and for the Respondent, and neither had any evidence of the generator having been shipped to Barbados.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. As explained in Crowley's accompanying memorandum, Claimant failed to provide notice of this alleged issue to Crowley within the time period required by the Bill of Lading, and thus this is prima facie evidence that Crowley delivered the goods in good order. Crowley also has not received a copy of Attachment 5 to Claimant's Complaint.

- H. On December 14, 2021, within 2 business days of receiving the delivery of the Container, the Claimant notified the Respondent that the generator had not been delivered and asked the Respondent about its whereabouts. The Respondent contacted their warehouse team but provided no explanation for where the generator was. The Claimant requested the Respondent contact their truck driver, who had signed for the generator, but the Respondent frequently did not respond to the Claimant (correspondence **Attachment 6**).

CROWLEY ANSWER: Crowley admits that Claimant contacted Crowley on December 14, 2021 regarding his allegations of a missing clip-on generator. Crowley denies the remaining allegations in this paragraph. Crowley investigated Claimant's allegations but was unable to locate the generator or determine whether Crowley ever received the generator. Crowley was also communicative with Claimant as it investigated his allegations and processed his claim with Crowley's cargo claims department. Crowley also has not received a copy of Attachment 6 to Claimant's Complaint.

Violation of Shipping Act

- I. Under Section 10(d)(1), 46 U.S. Code § 41102 (General prohibitions (c) Practices in Handling Property), the Respondent must not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and under 46 U.S. Code § 41104 the Respondent must not engage in any unfair or unjustly discriminatory practice in the matter of loading and landing freight.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, the Shipping Act of 1984 (and particularly 46 U.S.C. §§ 41102 and 41104) does not apply and Crowley did not violate the Shipping Act.

- J. For the reasons set out above, the Respondent has violated the above provisions of the Shipping Act of 1984. The generator is the property of the Claimant and although the parties had originally intended for the generator to be shipped to Barbados - no contract/Bill of Lading was put in place for it and it was not shipped to the Claimant and the Respondent is violating its obligation to handle, store and deliver the generator back to the Claimant.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, the Shipping Act of 1984 (and particularly 46 U.S.C. §§ 41102 and 41104) does not apply and Crowley did not violate the Shipping Act. Also, although Crowley admits that the generator was not listed in the Bill of Lading, to the extent that Claimant alleges that Crowley was supposed to transport the clip-on generator, then the clip-on generator is subject to the Bill of Lading (which comprised the parties' complete agreement) and Crowley's defenses under the Bill of Lading, as explained in Crowley's accompanying memorandum. Crowley also lacks sufficient information to admit or deny whether the generator is Claimant's property.

- K. Over a course of many months, the Claimant made many phone calls, sent many emails and used the Respondent's internal procedures to seek information from the Respondent on where the generator is and requesting that it be returned or refunded. The Respondent has been extremely unresponsive and not provided any substantive information and has been unwilling to return or refund the generator

CROWLEY ANSWER: Crowley admits that Claimant and Crowley exchanged phone calls and emails regarding Claimant's allegations concerning the generator and that Claimant filed a claim with Crowley's cargo claims department. Crowley denies that Crowley was unresponsive and did not provide any substantive information. Crowley investigated Claimant's claim, determined that it was not liable under the Bill of Lading for the reasons stated in Crowley's accompanying memorandum, but nonetheless in good faith offered to pay Claimant \$500 in full settlement (which is the highest limit of Crowley's liability under the Bill of Lading). Furthermore, for the reasons stated in Crowley's accompanying memorandum, Crowley denies that it is required to refund the

generator. Crowley also cannot return the generator because Crowley has not been able to locate the generator and has not been able to confirm that it ever received the generator. Crowley denies any remaining allegations.

Damages

- L. Although the parties had originally intended for the generator to be shipped to Barbados - no contract/Bill of Laden was put in place for it. The Parties did not agree contractual terms for it. Accordingly, the specific terms of the Bill of Lading only apply to items listed within the Bill of Laden and do not apply to the generator which is not included (i.e. the \$500 insurance cap on items within the Bill of Lading does not apply to the generator).

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. Although Crowley admits that the clip-on generator is not listed in the Bill of Lading, for the reasons explained in Crowley's accompanying memorandum, to the extent that Claimant alleges that Crowley was supposed to transport the clip-on generator, the clip-on generator is subject to the terms and conditions of the Bill of Lading, including the limitation of liability, which governed the parties' relationship and Crowley's services for Claimant. The parties' intentions to be bound by the terms and conditions of the Bill of Lading are clear, including from the Bill of Lading itself and the parties' correspondence in connection with this booking.

- M. The Claimant is entitled to damages to fully replace the Claimant's property which the Respondent lost and costs directly incurred as a result. The Claimant runs a small agribusiness and there were losses from frozen foods suffering from power cuts for many months while the Claimant was without a back-up generator as a result of the Respondent not returning/refunding it.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, Claimant is not entitled to any damages from Crowley. Claimant has also failed to provide any evidence or documentation supporting his allegation that he has incurred "losses from frozen foods suffering from power cuts," which Claimant cannot

recover from Crowley for the additional reason that they are the alleged result of “power cuts” and not any action of Crowley.

Summary

The Parties intended for the Respondent to ship items to the Claimant in Barbados (**Attachments 1 & 2**). There is clear evidence, in the form of a countersigned interchange sheet (Attachment 3) and verbal confirmation by the President of the supplier (MyshippingContainers.com) that the Respondent's truck driver collected the clip on generator. However, the clip on generator was not included in the Bill of Lading (**Attachment 4**) and there is clear evidence that the clip on generator was not shipped to the Claimant (**Attachment 5**) with photos/video evidence also supported by local agents (including for the Respondent) in Barbados that have no record of it and Crowley has provided no evidence of the clip on generator having been transported either. Contractually, there is no contract governing the generator as it is not part of the Bill of Lading and there is no cap on insurance. The Claimant is entitled to his property and, as it has been lost by the Respondent prior to any contract being put in place, the Claimant is entitled to damages to replace the cost of it and costs directly incurred as a result. The Claimant repeatedly requested the Respondent to either return the generator or refund the cost of it (**Attachment 6**) but the Respondent has not done so nor acted in good faith over a protracted period of time.

CROWLEY ANSWER: Crowley admits that the parties intended for Crowley to ship certain items to Claimant in Barbados, and that the clip-on generator was not listed in the Bill of Lading. Crowley denies all remaining allegations in this paragraph for the reasons stated in Crowley’s answers above and in Crowley’s accompanying memorandum.

IV. The Claimant makes this claim in accordance with Section 1 l(a) of the Shipping Act of 1984 (46 U.S.C. 4130l(a)) which permits any person to file a complaint with the Commission claiming a violation occurring in connection with the foreign commerce of the United States and to seek reparation for any injury caused by that violation.

- A. Under 46 U.S. Code § 41102 (General prohibitions (c) Practices in Handling Property) a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.
- B. Under 46 U.S. Code § 41104 (Common carriers) a common carrier must not engage in any unfair or unjustly discriminatory practice in the matter of loading and landing freight.

As set out on the proceeding pages, the Respondent has failed to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving,

handling and storing property i.e. the Respondent collected, signed for and did not ship nor is willing to return, the Claimant's property. The Respondent has engaged in a practice that is unjust or unreasonably and has done so in a normal, customary and continuous basis. The Respondent has engaged in an unfair or unjustly discriminatory practice in the matter of loading and landing the Claimant's property. Accordingly, the Respondent is in breach of the Shipping Act of 1984.

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, the Shipping Act of 1984 (and particularly 46 U.S.C. §§ 41102 and 41104) does not apply and Crowley did not violate the Shipping Act.

- V. The Claimant has been injured by the Respondent not returning nor refunding the Claimant's property. As explained above, there is no cap on insurance and the amount of damages are as follows:
- A. \$8,500, reimbursing the cost the Claimant paid for the generator
 - B. \$800, transport cost for a replacement generator
 - C. \$750, Claimant compensation for spoiled foods due to being without a generator for many months without the Respondent returning/refunding the generator (frozen foods are critical to the Claimant's agribusiness and suffered at the hands of power cuts)
 - D. \$500, cost in terms of time incurred in trying to resolve the dispute in absence of good faith by the Respondent
 - E. \$112, reimbursement of filing fee for having to make this complaint
- Total: \$10,662

CROWLEY ANSWER: Crowley denies all allegations in this paragraph. For the reasons stated in Crowley's accompanying memorandum, Crowley is not liable to Claimant for any of these amounts.

VI. The undersigned authorizes the Settlement Officer to determine the above- stated claim pursuant to the informal procedure outlined in subpart S (46 CFR 502.301-502.305) of the Commission's informal procedure for adjudication of small claims subject to discretionary Commission review.

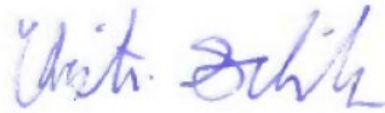
CROWLEY ANSWER: Crowley does not consent to the informal procedure of Subpart S. As stated in the accompanying Respondent's Affidavit, pursuant to 46 C.F.R. § 502.304(f), Crowley demands that Claimant's claim be considered a complaint under 46 C.F.R. § 502.311 and be adjudicated under the formal procedures for adjudication of small claims set forth in subpart T of the Commission's Rules of Practice and Procedure.

Dated: July 3, 2023

Respectfully submitted,

CROWLEY LOGISTICS, INC.,
By Counsel

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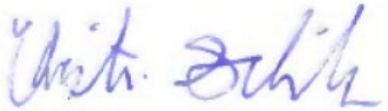
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Certificate of Service

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by e-mailing a copy to each such person in sufficient time to reach such person on the date the document is due to be filed with the Commission.

Dated at Tysons, Virginia this 3rd day of July, 2023.



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